

Before the
U.S. COPYRIGHT OFFICE
LIBRARY OF CONGRESS

In the Matter of Section 1201 Study: Notice and
Request for Public Comment
[Docket No. 2015–8]

Comment of Peter Decherney
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This comment is a response to the United States Copyright Office’s December 29, 2015 Notice of Inquiry regarding the operation of section 1201 of Title 17. It addresses changes that the Copyright Office may implement to the rulemaking procedure for triennial rulemaking proceedings established under the Digital Millennium Copyright Act (“DMCA”), to discuss exemptions to the prohibition against circumvention of technological measures that control access to copyrighted works within the scope of the statute, to improve the process for both participants and the Copyright Office.¹

¹ See 80 FR 81369 (Dec. 29, 2015).

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I. Commenter Background

This Comment is submitted on behalf of Peter Decherney, Professor of Cinema and Media Studies and English at the University of Pennsylvania. Parties interested in contacting the submitter should contact Jung Kim and Malgorzata Mrzyk by email at jungkim1@gmail.com or mmrzyk21@gmail.com.

The use of high-quality movie clips is essential to Professor Decherney's practice as a film and media professor. Thus, Prof. Decherney has participated on four occasions in Copyright Office triennial rulemaking proceedings established under the Digital Millennium Copyright Act, ("DMCA") to discuss exemptions to the prohibition against circumvention of technological measures that control access to copyrighted works.² On each occasion, Prof. Decherney has successfully petitioned for an exemption to the DMCA prohibitions, for his own benefit and that of other teachers.³ In various submissions, he has been joined by organization such as the College Art Association, International Communication Association, Library Copyright Alliance, Society for Cinema and Media Studies, American Association of University Professors, International Communication Association, and the Library Copyright Alliance.⁴

² See generally United States Copyright Office, Petition for Proposed Exemption Under 17 U.S.C. § 1201, Peter Decherney, http://copyright.gov/1201/2015/comments-020615/InitialComments_LongForm_DecherneyEtAl_Class01.pdf; http://www.copyright.gov/1201/2011/initial/peter_decherney.pdf; http://www.copyright.gov/1201/2012/comments/reply/peter_decherney.pdf; <http://www.copyright.gov/1201/2008/responses/peter-decherney-university-pennsylvania-21.pdf>; http://copyright.gov/1201/2014/petitions/Decherney-et-al_1201_Initial_Submission_2014.pdf; http://www.copyright.gov/1201/2006/comments/decherney_upenn.pdf (last visited March 1, 2016).

³ *Id.*

⁴ Supra note 1.

In each proceeding since 2006, Prof. Decherney has argued successfully for maintaining previously granted exceptions and expanding beyond them.⁵ Thanks to his efforts and those of his colleagues, the exemption was granted on October 28, 2015, allows professors teaching in a variety of settings (including MOOCs) for the first time to bypass encryption on digital media, movies, TV shows, online videos, streaming videos, and (for the first time) Blu-ray videos.⁶ Professors across a variety of disciplines are benefitting from the new scope of this exemption in fulfilling their educational missions. The additional quality of high-definition materials is especially necessary and useful in film and media studies courses, where quality is of great importance to demonstrate the technique and art of media creation.⁷ This exemption enables students and professors to use short portions or still images from motion pictures but also television programs, slide shows, video games, and other works to prepare a lecture or dissertation, facilitate a classroom discussion, complete an assignment, or otherwise participate in activities that enhance the educational experience.⁸

II. Introduction

The purpose of this rulemaking is to provide a safety valve, a “fail safe” against the general prohibition of circumvention of access controls on copyrighted content in 17

⁵ See generally United States Copyright Office, Petition for Proposed Exemption Under 17 U.S.C. § 1201, Peter Decherney, http://www.copyright.gov/1201/2006/comments/decherney_upenn.pdf (last visited March 1, 2016).

⁶ See 80 FR 65944, 65947 (Oct. 28, 2015) (Referring to Proposed Class 3).

⁷ See Petition for Proposed Exemption Under 17 U.S.C. § 1201, Peter Decherney, http://www.copyright.gov/1201/2011/initial/peter_decherney.pdf (last visited March 1, 2016).

⁸ *Id.*

U.S.C. § 1201(a)(1) from being (or becoming) a barrier to the exercise of user rights.⁹

The study proposed by the Copyright Office addresses areas of recurrent concern about the rulemaking process. Prof. Decherney, on the basis of his experience as a veteran of the process, has a unique perspective on how it could be improved.

Even though the Copyright Office has made certain improvements, the rulemaking procedure continues to be burdensome and resource intensive for both participants and the Office. As will be further detailed, these include difficulties associated with the demonstration of harm for applications to extend previously granted exemptions, which arise out of the Office's application of a so-called *de novo* standard in such situations. In addition, for applications seeking to extend existing exemptions, the redundant requirement to resubmit much of the same evidence relied on for previous exemptions is both burdensome and wasteful.¹⁰

We believe that the Copyright Office has sufficient delegated authority within the statute to make the necessary changes that will address these problems without the need for new legislation. Specifically,

1. In the absence of evidence to the contrary, a showing of reliance on or continued use of an existing exemption should be sufficient to demonstrate that harm would result in its absence. The Office can accomplish this change by adopting a burden-shifting framework for “renewal” applications.

⁹ See H.R. REP. NO. 105-551, pt. 2, at 36 (1998) (The House Commerce Committee, which added the rulemaking process to the DMCA, described the process as a “fail-safe” mechanism to protect against threats to lawful use of copyrighted works) [hereinafter Commerce Comm. Report].

¹⁰ See Note 13.

2. In addition, the creation of a database of evidence used at previous rulemakings and maintained in its original format can assist repeat applicants in making their presentations both efficiently and effectively.

Currently, by putting unnecessary burdens on proponents, the process is not achieving the intended result – to identify and provide a full range of appropriate exemptions. These proposed changes would reduce redundancies and eliminate unnecessary burdens on participants and decision-makers, as well as leading to a more balanced process between users and copyright owners. This will lead to better and fairer results.

III. Reliance And Burden-Shifting For Renewal Exemptions

As rulemaking proceedings have taken place, many proponents have requested identical or substantially similar versions of exemptions that have been granted in previous proceedings, as the statute clearly requires them to do if they wish those exemptions to be maintained.¹¹ Even though no special statutory provision addresses these applications, we refer to them here as ‘renewal’ applications.¹² The focus of this proposal is on how the Copyright Office currently deals with, and how it could improve its approach, to these renewal applications.

¹¹ See 17 U.S.C. 1201(a)(C) *see also* 2012 Recommendation of the Register of Copyrights at 5.

¹² We use the term ‘renewal’ applications to refer to applications for identical or substantially similar exemptions that have been granted in the last rulemaking proceeding.

i. De Novo Standard

The Office has stated that it reviews applications for renewals on a de novo basis.¹³ For support, it relies not on the language of the 1201 statute itself, from which the term de novo is entirely absent, but on legislative history.¹⁴ The statute itself does not address how evidence and legal analysis from rulemakings should be employed in subsequent rulemakings.¹⁵ Nor, more generally, does it address the element of harm, i.e., how the proponents of exemptions must demonstrate that they “are or are likely to be... adversely affected”.¹⁶ Even though the Office cannot disregard the House Commerce Committee guidance in conducting its rulemaking, neither is it bound to give that guidance the most restrictive available reading. In interpreting this guidance, the Office should keep in mind the broad curative intent that lay behind Congress’s creation of the rulemaking process.¹⁷

ii. The Problem

It is acknowledged that the Office must, under its delegated authority, regulate the rulemaking process.¹⁸ We recognize that although conceptually the statutory requirements are the same for all applications, in practice the impact is disproportionately burdensome for renewals. This is due in part to the fact that it is difficult, if not impossible, to show continued harm after one has been granted an effective exemption

¹³ See 2012 Recommendation of the Register of Copyrights at 5 (“review[ing] proposed classes on a de novo basis”) (citing Commerce Comm. Report at 37).

¹⁴ *Id.* see also 17 U.S.C. 1201(a) (for the absence of the term ‘de novo’)

¹⁵ Mark Gray, *New Rules for a New Decade: Improving the Copyright Office’s Anti-Circumvention Rulemakings*, 29 BERKELEY TECH. L.J. (2014) at 776-777.

¹⁶ See 17 U.S.C. 1201(a)(C) *see also* Gray at 764.

¹⁷ See Commerce Comm. Report at 36 (The House Commerce Committee, which added the rulemaking process to the DMCA, described the process as a “fail-safe” mechanism to protect against threats to lawful use of copyrighted works).

¹⁸ See 65 Fed. Reg. 64556- 64557 (October 27, 2000).

whose very purpose is to preclude such harm.¹⁹ Nevertheless, in the absence of that very exception, the harm is likely to recur. In contrast, exemptions that have not been granted will not face the inherent difficulties of demonstrating harm because no exemption exists to protect them.²⁰

The purpose behind reconsidering existing exemptions on a triennial basis is to account for that fact that changes in technology, patterns of consumption, and the marketplace may make some existing exemptions obsolete.²¹ Thus, the creation of a hard presumption of renewability might well violate Congressional preference expressed through legislative history.²² But when it is applied to renewal applications, a strict *de novo* approach serves as the functional equivalent to a higher burden of proof regarding a demonstration of harm.²³

iii. The Copyright Office Has The Authority To Make These Changes

In the past, the Office has made substantial changes to its interpretation and implementation of certain aspects of the rulemaking process. Because the statute only addresses who is involved and what factors must be considered, the Office has a considerable amount of discretion in its interpretation and implementation of both substantive and procedural aspects of the rulemaking process.²⁴

A previous example of the Office clarifying its interpretation of the statutory language, as influenced by legislative history, also involved the demonstration of harm necessary to justify an exemption. As the Register has acknowledged, “[t]he language of

¹⁹ *See* Gray at 777-778.

²⁰ *Id* at 777-778.

²¹ 65 Fed. Reg. at 64557-64558.

²² *Id* at 64558 (citing the Commerce Comm. Report at 37).

²³ *See* Gray at 777-778.

²⁴ *See* 17 U.S.C. 1201(a)(C)

section 1201(a)(1) does not offer much guidance as to the respective burdens of proponents and opponents of any classes of works to be exempted from the prohibition on circumvention.”²⁵ In exercising its delegated authority during the first rulemaking in 2000, the Office stated that the requisite level of harm necessary in order to grant an exemption was one that had actually experienced a “substantial adverse impact.”²⁶ The statute does not include the word substantial and does specifically reference the possibility of exemptions based on the likelihood of future harm. However, the Register cited to legislative history, specifically the Commerce Committee Report, in support of her choice of this more exacting standard.²⁷ After several parties objected to this additional language that was not grounded in the statute, the Register took advantage of the 2003 rulemaking to indicate that there had been no intent to raise the standard, explaining that the reference to substantial harm was intended only to exclude exemptions based on an insubstantial showing, as referenced in the House Manager’s Report.²⁸ Likewise, the Commerce Committee Report stated in regards to the harm element that it should be concerned with “distinct, verifiable, and measureable impacts, and should not be based upon de minimis impacts.”²⁹ In making this common sense change in interpretation, the Office not only found the requisite flexibility in the directly relevant parts of the statute and its legislative history; it also noted that the change was

²⁵ See 65 Fed. Reg. at 64,558.

²⁶ *Id* at 64558.

²⁷ *Id* at 64558 (citing Commerce Comm. Report at 37).

²⁸ See Gray at 765 citing (2003 Recommendation of the Register of Copyrights at 16-18 (citing Staff of House Committee on the Judiciary, 105th Cong., Section-By-Section Analysis of H.R. 2281 as Passed by the United States House of Representatives on August 4, 1998 at 6 (hereinafter House Manager’s Report))).

²⁹ 65 Fed. Reg. at 64,558 citing (Commerce Comm. Report at 37).

consistent with the general purposes of the enactment as a whole.³⁰ A more restrictive reading would go against those purposes by discriminating unreasonably against users who have well-founded fears of likely or future harm – precisely because by definition, future harm is not verifiable or measureable.³¹ Legislative history should not be a barrier to achieving the intended broad purpose of the statute of exempting from the ban on circumvention the public’s ability to make non-infringing uses.

More recently, the Office has demonstrated its openness to making procedural changes to the rulemaking format that serve to advance the statutory purpose for which it was created. Formerly, it had required proponents to provide a detailed legal analysis and produce factual evidence, including a designation of a proposed class, at the outset. For the 2015 rulemaking, the Office initially requested only basic information, reviewing and grouping the requests into classes that the Office chose.³² Only then were proponents (and opponents) asked to provide detailed legal analysis and factual evidence in support for their positions. This was an important change because it demonstrated both the willingness and capability of the Office to streamline its process and to facilitate efficiency.

As discussed above, Office apparently feels constrained in its approach to renewal applications by the use of the term *de novo* in the legislative history. In fact, this term has a variety of common and legal meanings and usages.³³ Most typically, the term *de*

³⁰ See Supra note 10.

³¹ See Gray at 778 (citing Elizabeth Jackson *The Copyright Office’s protection of Fair Uses under the DMCA: Why the Rulemaking Proceedings might be Unsustainable and Solutions for Their Survival*, 58 J. COPYRIGHT SOC’Y U.S.A. 521, 532 (2011)).

³² See 2015 Recommendation of the Register of Copyrights at 1-2.

³³ See, e.g., Black’s Law Dictionary (10th ed. 2014):
de novo) *adj* ... Anew.

novo refers to a type of standard of appellate review. The rulemakings by contrast, involve recurrent decision-making by the same body. The other common technical meaning, referring to a new trial with a new determination of both the facts and law, is similarly inapposite.

So the most plausible and useful definition of the term, in context, is the more generic one, meaning simply and only that each successive rulemaking should be conducted ‘anew,” based on a new application and a new proceeding. Thus understood, a *de novo* approach does not necessarily require that the evidence offered in past rulemakings, or the outcome of those rulemakings, be entirely ignored. We would suggest that the real question is how it can fairly be taken into account.

The legislative history does not address these questions directly. Given this latitude and in light of the general intent behind the rulemaking process, the Office should interpret *de novo* in a conceptual way, rather than in a questionable technical sense. As already indicated, it should be understood to mean that requests for renewals should not be automatically granted, but that a proponent seeking a renewal should provide *some* form of evidence that is sufficient to demonstrate that it met the statutory requirements.

The present Register has suggested to Congress that it amend the statutory language authorizing the creation of a presumption in favor of renewals with no substantial opposition, a change which might be similar in effect to the proposal we

hearing de novo ... A reviewing court's decision of a matter anew, giving no deference to a lower court's findings.

trial de novo ... A new trial on the entire case — that is, on both questions of fact and issues of law — conducted as if there had been no trial in the first instance.

present here, but is very different in form.³⁴ Merely because the Register has sought legislative authorization for one solution to the problem posed by renewal applications does not mean that it is outside the Office’s authority to address that problem under its delegated authority. In contrast to the Register’s suggested presumption structure, our proposal is more modest and for reasons discussed previously, does not require additional legislative action.

iv. Use of Reliance and Burden Shifting for Renewal Applications

Reinterpreting the harm requirement for renewals of previously granted exemptions to allow for a showing based on reliance or continued use would address the conceptual and practical difficulties of trying to show present harm in face of an existing and effective exemption.³⁵ Under our proposal, a proponent seeking renewal of an exemption would be required establish a *prima facie* showing of reliance.³⁶ In this scheme, proponents would have the opportunity to show, by their proof, reliance or continued use, that harm can be justifiably inferred through a counterfactual- i.e., in the absence of an exemption, users *would be harmed*. In fact, such an inference of future harm is explicitly provided for in the statute.³⁷ In other words, this proposal fits within the statutory framework as it exists now without needing Congressional action.

Once this initial burden has been sufficiently discharged by the proponent, the burden would shift to any opponents of the exemption to establish why it is no longer

³⁴ See The Register’s Perspective on Copyright Review Hearing at 27 (statement of Register Maria A. Pallante).

³⁵ Gray at 779.

³⁶ This might be demonstrated for example, of surveys of users who rely on existing exemptions, or by the testimony of prominent users of exemption such as Prof. Decherney.

³⁷ See 17 U.S.C. 1201(a)(C) (“whether persons who are users of a copyrighted work are, or *are likely to be*... adversely affected by the prohibition”)(emphasis added).

appropriate. The opponent would be permitted to make a threshold showing that there has been a material change in circumstance or other development that calls into question the continued utility of the exemption. If such showing were made, then the issue of harm would be considered anew, independent of the conclusion reached in previous rulemakings, and proponents and opponents would have the opportunity to present their positions on the issue of harm in full, without regard to the outcome of those rulemakings.³⁸

There would be numerous benefits to adopting this reliance and burden-shifting framework. First, it would insure that the exemption for which renewal is being sought is still useful and not obsolete. Another consequence of this proposal is that it shifts the burden of providing evidence related to changes in the market onto the party with the best access and lowest cost to that information – copyright owners and organizations which represent their interests. Finally, adoption of this proposal would achieve a better balance of the burdens between copyright owners and users seeking exemptions. Currently, opponents of renewal exemptions are never required to make an affirmative showing, no matter how long or clear cut the history of justification for that exemption may be. Instead, they can just point out that proponents of exemptions have not met their existing difficult burden of proof. Under the proposed approach, better rulemaking decisions will be achieved through a process that is more fair and balanced, with appropriate participation by both proponents and opponents.

³⁸ When there are modifications requested in an existing exemption, the portion that is new or different should go through the full process pursuant to the statutory requirements.

IV. Database of Evidence

The second proposal – to retain a database of evidence from previous rulemaking proceedings for subsequent use – will provide a complimentary mechanism for implementing the first proposal. As the Notice and Request for Public Comment stated, even with new improvements, the rulemaking procedure, as enacted by Congress, is resource intensive for both participants and the Office.³⁹ For renewal applications, much of the evidence that is presented in previous rulemaking remains relevant and it is an unnecessary waste of all parties’ resources to have to prepare and submit the same evidence again.

There is no reason why participants should not be able to utilize the evidence presented in previous rulemakings. If the evidence is out of date, the Office can disregard it, but if it is still relevant, the Office can consider it. In fact, the Register already has suggested “in some cases earlier *legal* analysis by the Register may be relevant in analyzing a proposed exemption (particularly when there has been no intervening change in the law).”⁴⁰ There, the Register goes on to note that “when a class has been previously designated, evidence relating to the costs, benefits or marketplace effects ensuing from the earlier designation may be relevant to the assessment of whether the existing class (or some variation thereof) should be redesignated for the subsequent period.”⁴¹ Already the Office appears to have implicitly applied the concept of relying on previously submitted evidence in some instances. It would be beneficial if the Office explicitly adopts a position of openness to consider previously submitted evidence, in

³⁹ See 80 FR 81369 (Dec.29, 2015).

⁴⁰ See 2012 Recommendation of the Register of Copyrights at 6.

⁴¹ *Id* at 6.

addition to adopting a reliance/continued use framework for renewal applications, so that all parties can benefit from predictability and clarity in the rulemaking process.

Accordingly, we suggest forming a database to preserve the evidence from past rulemakings so that all parties may utilize them, when appropriate, in future proceedings. In addition, it would be beneficial if digital evidence were preserved in its original format, because otherwise some of its usefulness will be ‘lost in translation’. Many of the video-related exemptions, for example, rely on the quality of video used. If they are transcoded to new formats or compressed, their probative value may be compromised. In the 2009 rulemaking, for example, video clips were reduced in file size to make them available on the Office’s website. And in 2012, files were made available through Dropbox, which preserved quality but limited access to the evidence.

Although the creation of a database will involve some expense, we believe it would be a worthwhile investment, as the efficiencies it generates would accumulate with each succeeding rulemaking proceeding. Rather than having to submit and review identical items for every rulemaking, it would be more efficient if parties were allowed to incorporate previously submitted evidence by reference. For the most recent round, as already noted, the Office refined the comment phase of the rulemaking to encourage the creation of a more organized and complete administrative record, including by instituting three distinct rounds of comments to allow participants to better respond to issues raised by other commenters.⁴² The evidence would be just another salutary step toward easing the process and assuring appropriate documentation.

⁴² *Id.*

V. Conclusion

Because the Copyright Office can and should adopt a reliance and burden-shifting structure, the Office should adopt this proposal to renewal exemptions to address the current difficulties with the rulemaking process. For the foregoing reasons, we respectfully seek the following:

In the absence of evidence of change of circumstance, a showing of reliance on or continued use of an existing exemption should be sufficient to demonstrate that harm would result in its absence of that exception. The Office can accomplish this change by adopting a burden-shifting framework for “renewal” applications.

In addition, the creation of a database of evidence used at previous rulemakings and kept in its original format can assist repeat applicants in making their presentations both efficiently and effectively.

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